Then came the Maoist insurgency, to which both India and China found it difficult to relate. For China, the problem was embarrassment over the Nepalese revolutionaries' use of the Chairman's ideology as their guiding principle. The Indians, troubled by their own Maoist insurgency which had taken roots in tribal areas in central India, did not want to see a linkup between the revolutionaries of the two countries. The CPN-M already had close ties with the Communist Party of India-Marxist-Leninist (People's War Group), which merged with the Maoist Communist Centre of India to become the Communist Party of India (Maoist) in September 2004. Apart from acquiring weapons from factories in Bihar, the CPN-M also trained some of its troops in Maoist camps in India. An alliance called the Coordinating Committee of Maoist Parties and Organisations of South Asia had also been formed in July 2001, comprising Indian, Nepalese, Sri Lankan, and Bangladeshi Maoist parties with the Communist Party of Bhutan (Marxist-Leninist-Maoist) holding what was called 'observer status'.[52]

Post-2008 developments and the mellowing of the CPN-M have allayed those fears, but have also led to a more intense tug-of-war between India and China for power and influence in Nepal. India suffered a severe setback after Nepal was struck by a third blockade in 2015, for which India was blamed. After years of wrangling and political bickering, Nepal's constituent assembly approved a new constitution on 20 September 2015, turning the country into a federal state made up of seven unnamed states. This led to violent protests by Madhesis and Tharus, historically marginalized groups in the southern plains adjacent to India.

The International Crisis Group (ICG) summarized the problem in this manner:

> There is disagreement over boundaries of the new states, electoral representation … and citizenship-related issues. Supporters of the new constitution … say an excessive focus on identity-based grievances threatens Nepal's unity, integrity and even sovereignty. The objections of those who demonstrated against it have their roots in long-running social disagreements on what it means to be Nepali and whether a homogenous conception of Nepaliness has led to structural discrimination against groups that do not conform to the behaviour and values of hill-origin, Nepali-speaking, upper caste Hindu communities.[53]

The 135-day blockade by Madhesi civil and political groups, which won sympathy from large segments of society in India, came five months after a devastating earthquake hit Nepal, killing nearly 9,000 people and injuring